



INTERNAL SECURITY

MODULE - 12

ORGANIZED CRIMES

WHAT IS THE MEANING OF ORGANISED CRIMES?

Organised crime means a structured group of three or more persons existing for a period of time and acting in concert with the aim of committing serious crimes for offences to obtain, directly or indirectly, financial or other material benefit.

Traditional organised crime:

- ✓ Illicit liquor trade
- ✓ Betting
- ✓ Gambling
- ✓ Kidnapping
- ✓ Extortion
- ✓ Prostitution rackets
- ✓ Robbery
- ✓ Blackmailing
- ✓ Sand mafia
- ✓ Mining mafia
- ✓ Contract killing
- ✓ Pornography

Non-traditional organised crime:

- ✓ Transitional crime like money laundering
- ✓ Pumping Fake Indian currency notes (FICN)
- ✓ Hawala transfer
- ✓ Cybercrime
- ✓ Hacking
- ✓ Arms smuggling
- ✓ Drug smuggling etc

ORGANIZED CRIMES

WHAT IS TRANSNATIONAL ORGANISED CRIME?

METHODOLOGICAL DIFFERENCES

ORGANIZED CRIMES	TERRORISM
Based on expansion of global markets	Based on sympathizers in several countries
Network of entrepreneurs	Network of ideologically committed operatives



As per UN Convention on Transnational Organised Crime (UNTOC), transnational organised crime comprises:

- A group of three or more persons that was not randomly formed;
- Existence of such a group for a period of time;
- Acting in concert with the aim of committing at least one crime punishable by at least four years incarceration;
- In order to obtain, directly or indirectly, a financial or other material benefit.

ORGANIZED CRIMES

LINK BETWEEN ORGANISED CRIME AND TERRORISM



1 Organised crime and terrorism thrive on ineffective governance, poor checks and balances. They have developed a symbiotic relationship.

2 But neither are all terrorists acts organised crime, nor are all organised criminal acts terrorism.

3 In most developed countries, organised crime thrives with little or no terrorists activities, and in most developing countries, terrorism exists along with varying levels of organised criminal activity.

4 Both organised crime groups and terrorist groups operate in areas where there is weak governmental controls and porous borders.

5 Both use similar means of modern technology to communicate.

ORGANIZED CRIMES

LINK BETWEEN ORGANISED CRIME AND TERRORISM

- 6** Terrorists groups make use of smuggling networks established by organised crime to move operatives around the world.
- 7** Criminal groups also provide money laundering services. In return, terrorist offer protection to the organised criminal activities.
- 8** More than ever before, there seems to be a symbiotic relationship between a terrorism and organised crimes.
- 9** This relationship have helped the terrorists groups to be less dependent on state sponsors and on their domestic and international supporters.
- 10** Eg: Operating through the cover of sympathetic organisation in Europe and North America, many Asia-Pacific terrorist groups generate huge revenues from video and CD piracy, business in phone cards and credit card scams.



MAJOR DIFFERENCES BETWEEN ORGANISED CRIME AND TERRORISM

ORGANIZED CRIMES	TERRORISM
Aims to form a parallel economy/Government	Aims to overthrow the existing Government by altering the status quo
Driven by economic objective	Driven by political objective
Prefers to be non-violent but the movement will resort to belligerence when the objectives are not met.	Definite usage of violence

Different types of organised crimes:

- Narcotics trafficking
- Arms trafficking
- Human smuggling
- Gold smuggling
- Fake currency
- Kidnapping and extortion
- Contract killing/supari killing
- Cyber crime
- Money laundering
- Maritime piracy
- CBRN smuggling (Chemical, Biological, Radiological and Nuclear Defence)
- Trading in human body parts
- Infiltration of illegal businesses.

ORGANIZED CRIMES

LINK BETWEEN TERRORISM AND ORGANISED CRIME IN THE NORTH-EAST



1 Here, almost all militant groups run a parallel Government or have their areas of influence and are involved in collecting money directly from the people.

2 Much of the Government funds reach the militants indirectly due to mal-governance.

3 Government officials in conflict zones are either threatened or bribed to award contracts to individuals patronised by the militant groups.

4 Contracts apart, essential commodities like rice and fuel reach the militant groups directly which are then sold to the public at much higher prices.

ORGANIZED CRIMES

LINK BETWEEN TERRORISM AND ORGANISED CRIME IN THE NORTH-EAST



- 5** Extortion, kidnapping, contracts and black marketing still fall short of financing the nefarious activities of the militants.
- 6** Terrorist organisations, especially in the North-east, mobilise funds by becoming couriers of illegal drugs and arms, and at times even human beings, from one point to another within the country.
- 7** Some of the infamous entry points from South-east Asia include Moreh and the entire Chittagong Hill tracts, especially Cox's Bazaar.

ORGANIZED CRIMES

LINK BETWEEN TERRORISM AND ORGANISED CRIME IN KASHMIR

- 1** In Kashmir, the linkage between terrorists and organised crime exist at a different level.
- 2** Unlike the North-east, reliance on funds from extortion and other related means is minimal.
- 3** Here, Government resources do not reach militant hands.
- 4** However, external funds compensate for inadequate internal mobilisation.
- 5** Money laundering plays a significant role. Hawala transaction takes place swiftly and effectively.
- 6** Another significant relationship between organised crime and terrorism especially in Kashmir, is through the spread of counterfeit currency, FICN.



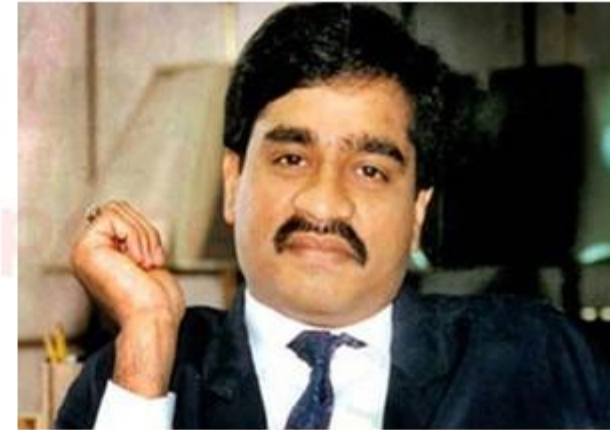
ORGANIZED CRIMES

LINK BETWEEN TERRORISM AND ORGANISED CRIME IN THE REST OF INDIA

Besides Kashmir and the North-East, sporadic incidents in other parts of India like the Bombay blast of 1993 establishes the link between terrorism and organised crimes in the rest of India.



BOMBAY BLASTS



DAWOOD IBRAHIM

- Don of the Bombay underworld organised crime syndicate named D-Company
- He is involved in all kinds of organised crimes like drugs smuggling, gold smuggling, Supari killing, match fixing etc.

ORGANIZED CRIMES

LINK BETWEEN TERRORISM AND MONEY LAUNDERING



- 1 Terrorists groups have begun to lay a premium on gaining domestic respectability, as also international acceptance, for their goals.

- 2 Accordingly, such group have gradually tended to distance themselves from visibly illegitimate businesses and to invest in legitimate businesses such as investment in share market, capital market, IPL spot-fixing, etc.
- 3 A large proportion of dirty money can be traced to proliferating narcotics cartels, alien smuggling networks, etc.
- 4 Law enforcement agencies find it more difficult to detect “clean-clean” money as compared to “dirty-clean” money.

ORGANIZED CRIMES

LINK BETWEEN TERRORISM AND DRUG TRAFFICKING



- 1 Heroin from the Golden Crescent (Afghanistan, Iran and Pakistan) and Golden Triangle (Myanmar, Laos and Thailand) feeds the Asia-Pacific region with major transit routes to Europe and North America.
- 2 While organised crime groups that are often linked to terrorist groups control narcotics distribution, many terrorist and guerrilla groups control the territories where the narcotics are cultivated or refined.
- 3 Furthermore, the threat posed by narcotics to health, economic, and law and order spheres in the region is on the increase.

ORGANIZED CRIMES

LINK BETWEEN TERRORISM AND DRUG TRAFFICKING



- 4 Narcotic trafficking is a major source of revenue for terrorists and organised crime networks, particularly groups with trans-state reach.
- 5 As much as armed ethnic groups in Myanmar control the flow of narcotics from Myanmar, armed Islamic groups tax and control organised networks regulating the flow of narcotics from Afghanistan.

ORGANIZED CRIMES

HOW CAN THIS LINK BE BROKEN?



- Terrorist dependence on organised crime for financial viability will increase in the near future.
- Structurally terrorists groups will mirror organised crime groups.
- With states sponsors distancing themselves, terrorists groups will either develop robust organised crime components or work with existing organised crime groups.

ORGANIZED CRIMES

HOW CAN THIS LINK BE BROKEN?

To effectively break the nexus between organised crimes and terrorists groups the following steps have to be taken:



- 1** Develop exceptionally good military and intelligence expertise to neutralise terrorists groups and fight transnational criminals.
- 2** The approach of punishing individuals but permitting groups that have perpetrated violence to exist is highly counter productive.
- 3** It is easier to crush terrorists groups at an early stage. With time, most conflicts can gather momentum by generating substantial people support.

ORGANIZED CRIMES

HOW CAN THIS LINK BE BROKEN?

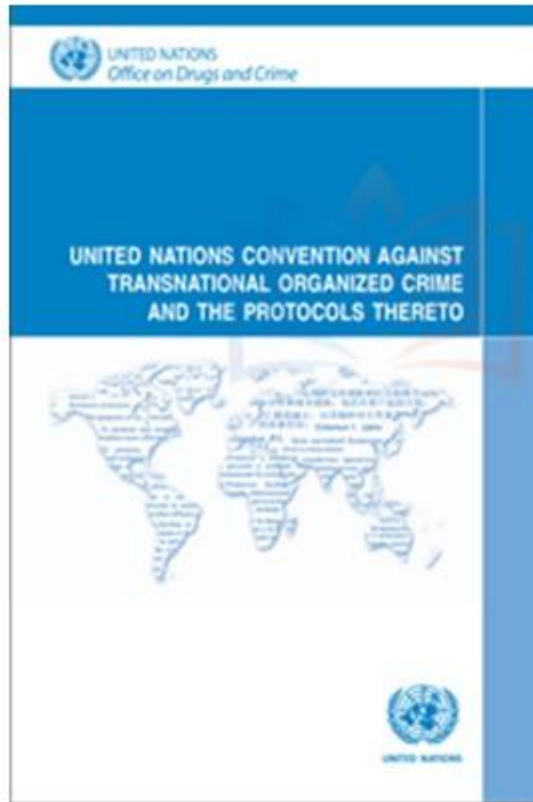
- 4 Devolving regional autonomy or power sharing has been the most effective strategy. But, it works primarily in the formative phases of conflict.
- 5 A politico-military approach should be evolved to politically isolate a group in order to stem support and recruits, and to simultaneously offer political and economic incentives and to military pressurise it to join the mainstream.
- 6 Stringent law to tackle organised crime.

- 7 While some of these threats can be resolved unilaterally by states, most require bilateral and multilateral arrangements.



ORGANIZED CRIMES

UN CONVENTION AGAINST TRANSNATIONAL ORGANISED CRIME AND THE PROTOCOLS



- UNTOC is the guardian of the United Nations Convention against Transnational Organised Crime (Organised Crime Convention) and the three Protocols (Trafficking in persons, Smuggling of Migrants and Trafficking of Firearms) that supplement it.
- This is the only international convention, which deals with organised crime.



ORGANIZED CRIMES

MONEY LAUNDERING



1 The process of creating the appearance that large amounts of money obtained from serious crimes, such as drug trafficking or terrorist activity, is from a legitimate source is called money laundering.

2 It is the process of making dirty money look like clean money.

3 It is a crucial step in the success of organised crimes and terrorism.

4 Basic money laundering process consists of three steps:

- Placement
- Layering
- Integration

ORGANIZED CRIMES

MONEY LAUNDERING

1. PLACEMENT

- It is the most riskiest stage of laundering process
- At this stage, the launderer inserts the dirty money into a legitimate financial institution in the form of bulk cash deposits.



2. LAYERING

- Here the idea is to send the money through various transactions to change its form and make it difficult to track.
- It consists of bank-to-bank transfers, wire transfers between different accounts in different names in different countries, making deposits and withdrawals to continuously vary the amount of money in the accounts changing the money's currency etc.

A TYPICAL MONEY LAUNDERING SCHEME



3. INTEGRATION

- Here, the money re-enters the mainstream economy in an legitimate way.
- The money might be used for buying luxury assets like boats, houses, cars and diamonds to change the form of the money.
- The launderer does a final bank transfer as if he is investing the money into a local business.



A TYPICAL MONEY LAUNDERING SCHEME



ORGANIZED CRIMES

ROUND TRIPPING



1 A new and major route through which money is laundered in India is via Round-Tripping.

2 In this process, the black money generated in India is transferred to tax-haven countries.

3 Then a company is set up in the tax haven with the black money.

4 This black money is now shown as white money and sent back into India as foreign investment.

5 The profits earned in India with these investments are taken back to the tax haven without paying any taxes in India.

6 This method of money laundering makes use of loopholes in the capital/stock market and investments are made via P-notes.

ORGANIZED CRIMES

TRADE-BASED MONEY LAUNDERING (TBML)

Financial Action Task Force (FATF) defines Trade Based Money Laundering (TBML) as the process of disguising the proceeds of crime and moving value through the use of trade transactions in an attempt to legitimise their illicit origins. The basic techniques of trade-based money laundering include:



1 Over-invoicing and under-invoicing of goods and services:

The key element of this technique is the misrepresentation of the price of the good or service in order to transfer additional value between the importer and the exporter.

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TRADE-BASED MONEY LAUNDERING (TRML)

2 Multiple-invoicing of goods and services:

- By invoicing the same good or service more than once, a money launderer or terrorist financier is able to justify multiple payments for the same shipments of good and delivery of services.
- Unlike over-invoicing and under-invoicing, it should be noted that there is no need for the exporter or importer to misrepresent the price of the good or service on the commercial invoice.



3 Over-shipment and under-shipment of goods and services:

- In addition to manipulating export and import prices, a money launderer can overstate or understate the quantity of goods being shipped or services being provided.
- In the extreme case, an exporter may not ship any goods at all, but simply collude with an importer to ensure that all shipping customs documents associated with this so called 'phantom shipment' are routinely processed.
- Banks and other financial institutions may unknowingly be involved in the provision of trade financing for these phantom shipments.

ORGANIZED CRIMES

TRADE-BASED MONEY LAUNDERING (TRML)



4

Falsely described goods and services:

- In addition to manipulating export and import prices, a money launderer can misrepresent the quality or type of a good or service.
- For example, an exporter may ship a relatively inexpensive good and falsely invoice it as a more expensive item or an entirely different item.
- This creates a discrepancy between what appears on the shipping and customs documents and what is actually shipped.

Generally, cases of over-invoicing or under-invoicing primarily designed to gain a tax advantage are considered to be customs fraud.

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